

International Organization A Reader

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16. *Ibid.*, p. 101.
17. *Ibid.*, p. 69.
18. See the following works of Waltz: *Theory*, p. 66; "The Stability of a Bipolar World," *Daedalus* 93 (Summer 1964), pp. 882-87; and *Man, the State and War* (New York: Columbia University Press, 1959).
19. Waltz, *Theory*, pp. 125 and 127-28; and Waltz, "Reflections on *Theory of International Politics: A Response to My Critics*," in Robert Keohane, ed., *Neorealism and Its Critics* (New York: Columbia University Press, 1986), p. 332.
20. Roy Bhaskar, *The Possibility of Naturalism* (Atlantic Highlands, NJ: Humanities Press, 1979), p. 43.
21. Alexander Wendt, "The Agent-Structure Problem in International Relations Theory," *International Organization* 41 (Summer 1987), p. 362.
22. Anthony Giddens, *Profiles and Critiques in Social Theory* (Berkeley: University of California Press, 1983), chap. 3.
23. Anthony Giddens, *The Constitution of Society* (Berkeley: University of California Press, 1984), pp. 20-21.
24. The seminal article on this subject is that of John Rawls, "Two Concepts of Rules," *Philosophical Review* 64 (January 1955), pp. 3-32. See also W. V. O. Quine, "Methodological Reflections on Current Linguistic Theory," in Donald Davidson and Gilbert Harmon, eds., *Semantics of Natural Language* (Boston: Riedel, 1972), pp. 442-54; and the broader discussion in Friedrich Kratochwil and John Gerard Ruggie, "International Organization: A State of the Art on an Art of the State," *International Organization* 40 (Autumn 1986), pp. 753-75. The present essay draws primarily on the influential work by John R. Searle, *Speech Acts: An Essay in the Philosophy of Language* (Cambridge: Cambridge University Press, 1969).
25. Searle, *Speech Acts*, p. 33.
26. *Ibid.*
27. Peter Winch, *The Idea of Social Science and Its Relation to Philosophy* (London: Routledge & Kegan Paul, 1958).
28. Anthony Giddens, *Central Problems in Social Theory* (London: Macmillan, 1979), p. 66.
29. ... See ... David S. Clarke, Jr., *Principles of Semiotic* (London: Routledge & Kegan Paul, 1987), especially chap. 4, "Communication," pp. 73-103.
30. See Barry M. Blechman and Stephen S. Kaplan, *Force Without War: U.S. Armed Forces as a Political Instrument* (Washington, DC: Brookings Institution, 1973); and Stephen S. Kaplan, *Diplomacy of Power: Soviet Armed Forces as a Political Instrument* (Washington, DC: Brookings Institution, 1981).
31. Raymond Cohen, *International Politics: The Rules of the Game* (London: Longman, 1981), p. 50. See also Paul Keal, *Unspoken Rules and Superpower Dominance* (New York: St. Martin's Press, 1983), chap. 3.
32. The claim that "system" presupposes "rules" is distinct from the argument that the international political system represents a "society" reflecting shared norms. In Bull's version of this latter argument, an international society "exists when a group of states, conscious of certain common interests and common values, form a society in the sense that they conceive themselves to be bound by a common set of rules in their relations with one another, and share in the workings of common institutions." Bull conceptualizes "rules" in the regulative sense only—"general imperative principles which require or authorize prescribed classes of persons or groups to behave in prescribed ways"—and links rules to the achievement and maintenance of "order," implying "a pattern of activity that sustains the elementary or primary goals of ... international society."

- Thus, when Bull declares the existence of "a common set of rules" in international politics, he means a common dedication to the achievement of shared values, interests, or norms. By contrast, when the scientific realist speaks of a common set of rules, all that is necessarily implied is the shared conventions of meaning that the very idea of social action in international relations presupposes. Above quotes are from Hedley Bull, *The Anarchical Society* (New York: Columbia University Press, 1977), pp. 13, 54, and 8. ...
33. Robert Keohane, "Theory of World Politics: Structural Realism and Beyond," in Keohane, *Neorealism and Its Critics*, p. 167.
 34. Waltz, *Theory*, pp. 74 and 76.
 35. *Ibid.*, p. 128.
 36. *Ibid.*, p. 98.
 37. Waltz, "Reflections on *Theory*," p. 329.
 38. Robert Keohane, "International Institutions: Two Approaches," *International Studies Quarterly* 32 (December 1988), p. 384.
 39. See Norwood Russell Hanson, *Patterns of Discovery: An Inquiry into the Conceptual Foundations of Science* (Cambridge: Cambridge University Press, 1958), chaps. 1, 2, and 4.
 40. See Robert Gilpin, *War and Change in World Politics* (New York: Cambridge University Press, 1981); and Robert Keohane, "Theory of World Politics." For an important theoretical and historical analysis of the determinants of peaceful systemic change, see Charles F. Doran, *The Politics of Assimilation: Hegemony and Its Aftermath* (Baltimore, MD: Johns Hopkins University Press, 1971).
 41. Waltz, "Reflections on *Theory*," p. 338. The distinction is Robert Cox's, presented in "Social Forces, States, and World Orders: Beyond International Relations Theory," in Keohane, *Neorealism and Its Critics*, pp. 204-54.
 42. Waltz, "Reflections on *Theory*," p. 338.

Social Forces, States and World Orders: Beyond International Relations Theory

Robert W. Cox

Academic conventions divide up the seamless web of the real social world into separate spheres, each with its own theorising; this is a necessary and practical way of gaining understanding. ...

... The segments which result, however, derive indirectly from reality insofar

as they are the result of practices, that is to say, the responses of consciousness to the pressures of reality. Subdivisions of social knowledge thus may roughly correspond to the ways in which human affairs are organised in particular times and places. They may, accordingly, appear to be increasingly arbitrary when practices change.

International relations is a case in point. It is an area of study concerned with the interrelationships among states in an epoch in which states, and most commonly nation-states, are the principal aggregations of political power. It is concerned with the outcomes of war and peace and thus has obvious practical importance. Changing practice has, however, generated confusion as to the nature of the actors involved (different kinds of state, and non-state entities), extended the range of stakes (low as well as high politics), introduced a greater diversity of goals pursued, and produced a greater complexity in the modes of interaction and the institutions within which action takes place.

One old intellectual convention which contributed to the definition of international relations is the distinction between state and civil society. This distinction made practical sense in the Eighteenth and early Nineteenth centuries when it corresponded to two more or less distinct spheres of human activity or practice: to an emergent society of individuals based on contract and market relations which replaced a status-based society, on the one hand, and a state with functions limited to maintaining internal peace, external defence and the requisite conditions for markets, on the other. Traditional international relations theory maintains the distinctness of the two spheres, with foreign policy appearing as the pure expression of state interests. Today, however, state and civil society are so interpenetrated that the concepts have become almost purely analytical . . . and are only very vaguely and imprecisely indicative of distinct spheres of activity.

. . . There has been little attempt within the bounds of international relations theory to consider the state/society complex as the basic entity of international relations. As a consequence, the prospect that there exist a plurality of forms of state, expressing different configurations of state/society complexes, remains very largely unexplored, at least in connection with the study of international relations. . . .

Some historians, both Marxist and non-Marxist, quite independently of theorising about either international relations or the state, have contributed in a practical way towards filling the gap. . . . In France, Fernand Braudel has portrayed these interrelationships in the Sixteenth and Seventeenth centuries on a vast canvas of the whole world.¹ Inspired by Braudel's work a group led by Immanuel Wallerstein has proposed a theory of world systems defined essentially in terms of social relations. The exploitative exchange relations between a developed core and an underdeveloped periphery, to which correspond different forms of labour control (e.g. free labour in the core areas, coerced labour in the peripheries, with intermediate forms in what are called semi-peripheries).² Though it offers the most radical alternative to conventional international relations theory, the world systems approach has been criticised on two main grounds: first, for its tendency to undervalue the state by considering the state as merely derivative from its position

in the world system (strong states in the core, weak states in the periphery); second, for its alleged, though unintended, system-maintenance bias. . . .

The above comments are . . . warnings prior to the following attempt to sketch a method for understanding global power relations: look at the problem of world order in the whole, but beware of reifying a world system.³ Beware of underrating state power, but in addition give proper attention to social forces and processes and see how they relate to the development of states and world orders. Above all, do not base theory on theory but rather on changing practice and empirical-historical study, which are a proving ground for concepts and hypotheses.

ON PERSPECTIVES AND PURPOSES

Theory is always *for* someone and *for* some purpose. All theories have a perspective. Perspectives derive from a position in time and space, specifically social and political time and space. . . . Of course, sophisticated theory is never just the expression of a perspective. The more sophisticated a theory is, the more it reflects upon and transcends its own perspective; but the initial perspective is always contained within a theory and is relevant to its explication. There is, accordingly, no such thing as theory in itself, divorced from a standpoint in time and space. . . .

To each such perspective the enveloping world raises a number of issues; the pressures of social reality present themselves to consciousness as problems. A primary task of theory is to become clearly aware of these problems, to enable the mind to come to grips with the reality it confronts. Thus, as reality changes, old concepts have to be adjusted or rejected and new concepts forged in an initial dialogue between the theorist and the particular world he tries to comprehend. This initial dialogue concerns the *problematic* proper with a particular perspective. . . .

Beginning with its problematic, theory can serve two distinct purposes. One is a simple, direct response: to be a guide to help solve the problems posed within the terms of the particular perspective which was the point of departure. The other is more reflective upon the process of theorising itself: to become clearly aware of the perspective which gives rise to theorising, and its relation to other perspectives (to achieve a perspective on perspectives); and to open up the possibility of choosing a different valid perspective from which the problematic becomes one of creating an alternative world. Each of these purposes gives rise to a different kind of theory.

The first purpose gives rise to *problem-solving theory*. It takes the world as it finds it, with the prevailing social and power relationships and the institutions into which they are organised, as the given framework for action. The general aim of problem-solving is to make these relationships and institutions work. . . . Since the general pattern of institutions and relationships is not called into question, particular problems can be considered in relation to the specialised areas of activity in which they arise. . . . The strength of the problem-solving approach lies in its ability to fix limits or parameters to a problem area and to reduce the statement of a particular problem to a limited number of variables which are amenable to rela-

tively close and precise examination. The *ceteris paribus* assumption, upon which such theorising is based, makes it possible to arrive at statements of laws or regularities which appear to have general validity but which imply, of course, the institutional and relational parameters assumed in the problem-solving approach.

The second purpose leads to *critical theory*. It is critical in the sense that it stands apart from the prevailing order of the world and asks how that order came about. Critical theory, unlike problem-solving theory, does not take institutions and social and power relations for granted but calls them into question by concerning itself with their origins and how and whether they might be in the process of changing. It is directed towards an appraisal of the very framework for action, or problematic, which problem-solving theory accepts as its parameters. Critical theory is directed to the social and political complex as a whole rather than to the separate parts. As a matter of practice, critical theory, like problem-solving theory, takes as its starting point some aspect or particular sphere of human activity. But whereas the problem-solving approach leads to further analytical sub-division and limitation of the issue to be dealt with, the critical approach leads towards the construction of a larger picture of the whole of which the initially contemplated part is just one component, and seeks to understand the processes of change in which both parts and whole are involved.

Critical theory is theory of history in the sense of being concerned not just with the past but with a continuing process of historical change. Problem-solving theory is non-historical or ahistorical, since it, in effect, posits a continuing present (the permanence of the institutions and power relations which constitute its parameters). The strength of the one is the weakness of the other. Because it deals with a changing reality, critical theory must continually adjust its concepts to the changing object it seeks to understand and explain.⁴ These concepts and the accompanying methods of enquiry seem to lack the precision that can be achieved by problem-solving theory, which posits a fixed order as its point of reference. This relative strength of problem-solving theory, however, rests upon a false premise, since the social and political order is not fixed but (at least in a long-range perspective) is changing. Moreover, the assumption of fixity is not merely a convenience of method, but also an ideological bias. Problem-solving theories can be represented, in the broader perspective of critical theory, as serving particular national, sectional, or class interests, which are comfortable within the given order. . . .

The perspectives of different historical periods favour one or the other kind of theory. Periods of apparent stability or fixity in power relations favour the problem-solving approach. The Cold War was one such period. In international relations, it fostered a concentration upon the problems of how to manage an apparently enduring relationship between two superpowers. However, a condition of uncertainty in power relations beckons to critical theory as people seek to understand the opportunities and risks of change. . . . To reason about possible future world orders now, however, requires a broadening of our enquiry beyond conventional international relations, so as to encompass basic processes at work in the development of social forces and forms of state, and in the structure of global political economy. Such, at least, is the central argument of this essay.

REALISM, MARXISM AND AN APPROACH TO A CRITICAL THEORY OF WORLD ORDER

Currents of theory which include works of sophistication usually share some of the features of both problem-solving and critical theory but tend to emphasise one approach over the other. Two currents which have had something important to say about inter-state relations and world orders—realism and Marxism—are considered here as a preliminary to an attempted development of the critical approach.

The realist theory of international relations had its origin in an historical mode of thought. Friedrich Meinecke, in his study on *raison d'état*, traced it to the political theory of Machiavelli and the diplomacy of Renaissance Italian city-states. . . . Meinecke's interpretation of *raison d'état* is a contribution to critical theory. . . .

Since the Second World War, some American scholars, notably Hans Morgenthau and Kenneth Waltz, have transformed realism into a form of problem-solving theory. Though individuals of considerable historical learning, they have tended to adopt the fixed ahistorical view of the framework for action characteristic of problem-solving theory. . . .⁵

The generalised form of the framework for action postulated by this new American realism (which we shall henceforth call neo-realism, which is the ideological form abstracted from the real historical framework imposed by the Cold War) is characterised by three levels, each of which can be understood in terms of what classical philosophers would call substances or essences, *i.e.* fundamental and unchanging substrata of changing and accidental manifestations or phenomena. These basic realities were conceived as: (1) the nature of man, understood in terms of Augustinian original sin or the Hobbesian "perpetual and restless desire for power after power that ceaseth only in death"⁶; (2) the nature of states, which differ in their domestic constitutions and in their capabilities for mobilising strength, but are similar in their fixation with a particular concept of national interest (a Leibnizian *monad*) as a guide to their actions; and (3) the nature of the state system, which places rational constraints upon the unbridled pursuit of rival national interests through the mechanism of the balance of power.

Having arrived at this view of underlying substances, history becomes for neo-realists a quarry providing materials with which to illustrate variations on always recurrent themes. The mode of thought ceases to be historical even though the materials used are derived from history. Moreover, this mode of reasoning dictates that, with respect to essentials, the future will always be like the past.⁷

In addition, this core of neo-realist theory has extended itself into such areas as game theory, in which the notion of substance at the level of human nature is presented as a rationality assumed to be common to the competing actors who appraise the stakes at issue, the alternative strategies, and the respective payoffs in a similar manner. This idea of a common rationality reinforces the non-historical mode of thinking. Other modes of thought are to be castigated as inapt, and incomprehensible in their own terms (which makes it difficult to account for the irruption into international affairs of a phenomenon like Islamic integralism, for instance).

The "common rationality" of neo-realism arises from its polemic with liberal internationalism. For neo-realism, this rationality is the one appropriate response to a postulated anarchic state system. Morality is effective only to the extent that it is enforced by physical power. This has given neo-realism the appearance of being a non-normative theory. It is 'value-free' in its exclusion of moral goals (wherein it sees the weakness of liberal internationalism) and in its reduction of problems to their physical power relations. This non-normative quality is, however, only superficial. There is a latent normative element which derives from the assumptions of neo-realist theory: security within the postulated inter-state system depends upon each of the major actors understanding this system in the same way, that is to say, upon each of them adopting neo-realist rationality as a guide to action. Neo-realist theory derives from its foundations the prediction that the actors, from their experiences within the system, will tend to think in this way; but the theory also performs a proselytising function as the advocate of this form of rationality. . . .

The debate between neo-realists and liberal internationalists reproduces, with up-to-date materials, the Seventeenth century challenge presented by the civil philosophy of Hobbes to the natural law theory of Grotius. Each of the arguments is grounded in different views of the essences of man, the state and the inter-state system. An alternative which offered the possibility of getting beyond this opposition of mutually exclusive concepts was pointed out by the Eighteenth century Neapolitan Giambattista Vico, for whom the nature of man and of human institutions (amongst which must be included the state and the inter-state system) should not be thought of in terms of unchanging substances but rather as a continuing creation of new forms. . . .

This should not be taken as a statement of radical idealism (*i.e.* that the world is a creation of mind). For Vico, ever-changing forms of mind were shaped by the complex of social relations in the genesis of which class struggle played the principal rôle, as it later did for Marx. Mind is, however, the thread connecting the present with the past, a means of access to a knowledge of these changing modes of social reality. Human nature (the modifications of mind) and human institutions are identical with human history; they are to be understood in genetic and not in essentialist terms (as in neo-realism) or in teleological terms (as in functionalism). One cannot, in this Vichian perspective, properly abstract man and the state from history so as to define their substances or essences as *prior to* history, history being but the record of interactions of manifestations of these substances. A proper study of human affairs should be able to reveal both the coherence of minds and institutions characteristic of different ages, and the process whereby one such coherent pattern—which we can call an historical structure—succeeds another. . . . The error which Vico criticised as the "conceit of scholars", who will have it that "what they know is as old as the world", consists in taking a form of thought derived from a particular phase of history (and thus from a particular structure of social relations) and assuming it to be universally valid.⁸ This is an error of neo-realism and more generally, the flawed foundation of all problem-solving theory. . . .

How does Marxism relate to this method or approach to a theory of world order? . . . For our purposes, it is necessary to distinguish two divergent Marxist cur-

rents, analogous to the bifurcation between the old realism and the new. There is a Marxism which reasons historically and seeks to explain, as well as to promote, changes in social relations; there is also a Marxism, designed as a framework for the analysis of the capitalist state and society, which turns its back on historical knowledge in favour of a more static and abstract conceptualisation of the mode of production. The first we may call by the name under which it recognises itself: historical materialism. It is evident in the historical works of Marx, in those of present-day Marxist historians such as Eric Hobsbawm, and in the thought of Gramsci. . . . The second is represented by the so-called structural Marxism of Althusser and Poulantzas ("so-called" in order to distinguish their use of "structure" from the concept of historical structure in this essay) and most commonly takes the form of an exegesis of *Capital* and other sacred texts. Structural Marxism shares some of the features of the neo-realist problem-solving approach. . . . Historical materialism is, however, a foremost source of critical theory and it corrects neo-realism in four important respects.

The first concerns dialectic, a term which, like Marxism, has been appropriated to express a variety of not always compatible meanings. . . .

Both realism and historical materialism direct attention to conflict. Neo-realism sees conflict as inherent in the human condition, a constant factor flowing directly from the power-seeking essence of human nature and taking the political form of a continual reshuffling of power among the players in a zero-sum game, which is always played according to its own innate rules. Historical materialism sees in conflict the process of a continual remaking of human nature and the creation of new patterns of social relations which change the rules of the game and out of which—if historical materialism remains true to its own logic and method—new forms of conflict may be expected ultimately to arise. . . .

Second, by its focus on imperialism, historical materialism adds a vertical dimension of power to the horizontal dimension of rivalry among the most powerful states, which draws the almost exclusive attention of neo-realism. This dimension is the dominance and subordination of metropole over hinterland, centre over periphery, in a world political economy.

Third, historical materialism enlarges the realist perspective through its concern with the relationship between the state and civil society. Marxists, like non-Marxists, are divided between those who see the state as the mere expression of the particular interests in civil society and those who see the state as an autonomous force expressing some kind of general interest. This, for Marxists, would be the general interest of capitalism as distinct from the particular interests of capitalists. Gramsci contrasted historical materialism, which recognises the efficacy of ethical and cultural sources of political action (though always relating them with the economic sphere), with what he called historical economism or the reduction of everything to technological and material interests.⁹ Neo-realist theory in the United States has returned to the state/civil society relationship, though it has treated civil society as a constraint upon the state and a limitation imposed by particular interests upon *raison d'état*, which is conceived of, and defined as, independent of civil society.¹⁰ The sense of a reciprocal relationship between structure (economic relations) and superstructure (the ethico-political sphere) in Gramsci's

thinking contains the potential for considering state/society complexes as the constituent entities of a world order and for exploring the particular historical forms taken by these complexes.

Fourth, historical materialism focuses upon the production process as a critical element in the explanation of the particular historical form taken by a state/society complex. . . . Historical materialism examines the connections between power in production, power in the state, and power in international relations. . . . [It] is sensitive to the dialectical possibilities of change in the sphere of production which could affect the other spheres, such as those of the state and world order. . . .

FRAMEWORKS FOR ACTION: HISTORICAL STRUCTURES

At its most abstract, the notion of a framework for action or historical structure is a picture of a particular configuration of forces. This configuration does not determine actions in any direct, mechanical way but imposes pressures and constraints. . . .

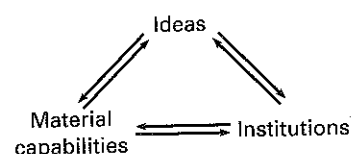
Three categories of forces (expressed as potentials) interact in a structure: material capabilities, ideas and institutions. No one-way determinism need be assumed among these three; the relationships can be assumed to be reciprocal. The question of which way the lines of force run is always an historical question to be answered by a study of the particular case [see Figure 1].

Material capabilities are productive and destructive potentials. In their dynamic form these exist as technological and organisational capabilities, and in their accumulated forms as natural resources which technology can transform, stocks of equipment (e.g. industries and armaments), and the wealth which can command these.

Ideas are broadly of two kinds. One kind consists of intersubjective meanings, or those shared notions of the nature of social relations which tend to perpetuate habits and expectations of behaviour.¹¹ Examples of intersubjective meanings in contemporary world politics are the notions that people are organised and commanded by states which have authority over defined territories. . . .

The other kind of ideas relevant to an historical structure are collective images of social order held by different groups of people. These are differing views as to both the nature and the legitimacy of prevailing power relations, the meanings of justice and public good, and so forth. Whereas intersubjective meanings

Figure 1



are broadly common throughout a particular historical structure and constitute the common ground of social discourse (including conflict), collective images may be several and opposed.¹² The clash of rival collective images provides evidence of the potential for alternative paths of development and raises questions as to the possible material and institutional basis for the emergence of an alternative structure.

Institutionalisation is a means of stabilising and perpetuating a particular order. Institutions reflect the power relations prevailing at their point of origin and tend, at least initially, to encourage collective images consistent with these power relations. Eventually, institutions take on their own life; they can become either a battleground of opposing tendencies, or stimulate the creation of rival institutions reflecting different tendencies. . . .

There is a close connection between institutionalisation and what Gramsci called hegemony. Institutions provide ways of dealing with internal conflicts so as to minimise the use of force. . . . There is an enforcement potential in the material power relations underlying any structure, in that the strong can clobber the weak if they think it necessary. But force will not have to be used in order to ensure the dominance of the strong to the extent that the weak accept the prevailing power relations as legitimate. This the weak may do if the strong see their mission as hegemonic and not merely dominant or dictatorial, that is, if they are willing to make concessions that will secure the weak's acquiescence in their leadership and if they can express this leadership in terms of universal or general interests, rather than just as serving their own particular interests.¹³ Institutions may become the anchor for such a hegemonic strategy since they lend themselves both to the representations of diverse interests and to the universalisation of policy. . . .

The method of historical structures is one of representing what can be called limited totalities. The historical structure does not represent the whole world but rather a particular sphere of human activity in its historically located totality. The *ceteris paribus* problem, which falsifies problem-solving theory by leading to an assumption of total stasis, is avoided by juxtaposing and connecting historical structures in related spheres of action. Dialectic is introduced, firstly, by deriving the definition of a particular structure, not from some abstract model of a social system or mode of production, but from a study of the historical situation to which it relates, and secondly, by looking for the emergence of rival structures expressing alternative possibilities of development. . . . Historical structures are contrast models: like ideal types they provide, in a logically coherent form, a simplified representation of a complex reality and an expression of tendencies, limited in their applicability to time and space, rather than fully realised developments.

For the purpose of the present discussion, the method of historical structures is applied to the three levels, or spheres of activity: (1) the organisation of production, more particularly with regard to the *social forces* engendered by the production process; (2) *forms of state* as derived from a study of state/society complexes; and (3) *world orders*, i.e. the particular configurations of forces which successively define the problematic of war or peace for the ensemble of states. Each of these levels can be studied as a succession of dominant and emergent rival structures.

The three levels are interrelated. Changes in the organisation of production generate new social forces which, in turn, bring about changes in the structure of states; and the generalisation of changes in the structure of states alters the problematic of world order. . . .

The relationship among the three levels is not, however, simply unilinear. Transnational social forces have influenced states through the world structure, as evidenced by the effect of expansive Nineteenth century capitalism, (*les bourgeois conquérants*) upon the development of state structures in both core and periphery. Particular structures of world order exert influence over the forms which states take. . . . Forms of state also affect the development of social forces through the kinds of domination they exert, for example, by advancing one class interest and thwarting others. . . .¹⁴

HEGEMONY AND WORLD ORDERS

How are these reciprocal relationships to be read in the present historical conjuncture? Which of the several relationships will tell us the most? A sense of the historicity of concepts suggests that the critical relationships may not be the same in successive historical periods, even within the post-Westphalian era for which the term "state system" has particular meaning. The approach to a critical theory of world order, adumbrated here, takes the form of an interconnected series of historical hypotheses.

Neo-realism puts the accent on states reduced to their dimension of material force and similarly reduces the structure of world order to the balance of power as a configuration of material forces. Neo-realism, which generally dismisses social forces as irrelevant, is not much concerned with differentiating forms of state. . . . and tends to place a low value on the normative and institutional aspects of world order. . . .

An alternative approach might start by redefining what it is that is to be explained, namely, the relative stability of successive world orders. This can be done by equating stability with a concept of hegemony that is based on a coherent conjunction or fit between a configuration of material power, the prevalent collective image of world order (including certain norms) and a set of institutions which administer the order with a certain semblance of universality (*i.e.* not just as the overt instruments of a particular state's dominance). In this formulation, state power ceases to be the sole explanatory factor and becomes part of what is to be explained. . . .

The two periods of the *pax britannica* and the *pax americana* . . . satisfy the reformulated definition of hegemony. In the mid-Nineteenth century, Britain's world supremacy was founded on its sea power, which remained free from challenge by a continental state as a result of Britain's ability to play the rôle of balancer in a relatively fluid balance of power in Europe. The norms of liberal economics (free trade, the gold standard, free movement of capital and persons) gained widespread acceptance with the spread of British prestige, providing a uni-

versalistic ideology which represented these norms as the basis of a harmony of interests. While there were no formal international institutions, the ideological separation of economics from politics meant that the City could appear as administrator and regulator according to these universal rules, with British sea power remaining in the background as potential enforcer.

This historical structure was transformed in its three dimensions during the period running from the last quarter of the Nineteenth century through the Second World War. During this period British power declined relatively, losing its undisputed supremacy at sea, first with the German challenge and then with the rise of US power; economic liberalism foundered with the rise of protectionism, the new imperialisms and ultimately the end of the gold standard; and the belated and abortive attempt at international institutionalisation through the League of Nations, unsustained either by a dominant power or a widely-accepted ideology, collapsed in a world increasingly organised into rival power blocs.

The power configuration of the *pax americana* was more rigid than that of the earlier hegemony, taking the form of alliances (all hinging on US power) created in order to contain the Soviet Union. The stabilisation of this power configuration created the conditions for the unfolding of a global economy in which the United States played a rôle similar to that of Britain in mid-Nineteenth century. The United States rarely needed to intervene directly in support of specific national economic interests; by maintaining the rules of an international economic order according to the revised liberalism of Bretton Woods, the strength of US corporations engaged in the pursuit of profits was sufficient to ensure continuing national power. The *pax americana* produced a greater number of formal international institutions than the earlier hegemony. The Nineteenth century separation of politics and economics had been blurred by the experience of the Great Depression and the rise of Keynesian doctrines. Since states now had a legitimate and necessary overt rôle in national economic management, it became necessary both to multilateralise the administrative management of the international economy and to give it an intergovernmental quality.

The notion of hegemony as a fit between power, ideas and institutions makes it possible to deal with some of the problems in the theory of state dominance as the necessary condition for a stable international order; it allows for lags and leads in hegemony. For example, so appealing was the nostalgia for the Nineteenth century hegemony that the ideological dimension of the *pax britannica* flourished long after the power configuration that supported it had vanished. Sustained, and ultimately futile, efforts were made to revive a liberal world economy along with the gold standard in the inter-war period. . . .

SOCIAL FORCES, HEGEMONY AND IMPERIALISM

Represented as a fit between material power, ideology and institutions, hegemony may seem to lend itself to a cyclical theory of history; the three dimensions fitting together in certain times and places and coming apart in others. . . . [However],

what is missing is some theory as to how and why the fit comes about and comes apart. It is my contention that the explanation may be sought in the realm of social forces shaped by production relations.

Social forces are not to be thought of as existing exclusively within states. Particular social forces may overflow state boundaries, and world structures can be described in terms of social forces just as they can be described as configurations of state power. The world can be represented as a pattern of interacting social forces in which states play an intermediate though autonomous rôle between the global structure of social forces and local configurations of social forces within particular countries. This may be called a political economy perspective of the world: power is seen as *emerging* from social processes rather than taken as given in the form of accumulated material capabilities, that is as the result of these processes. . . .

It is, of course, no great discovery to find that, viewed in the political economy perspective, the *pax britannica* was based both on the ascendancy of manufacturing capitalism in the international exchange economy, of which Britain was the centre, and on the social and ideological power, in Britain and other parts of northwest Europe, of the class which drew its wealth from manufacturing. The new bourgeoisie did not need to directly control states; its social power became the premiss of state politics.¹⁵

The demise of this hegemonic order can also be explained by the development of social forces. Capitalism mobilised an industrial labour force in the most advanced countries, and from the last quarter of the Nineteenth century industrial workers had an impact on the structure of the state in these countries. The incorporation of the industrial workers, the new social force called into existence by manufacturing capitalism, into the nation involved an extension in the range of state action in the form of economic intervention and social policy. This in turn brought the factor of domestic welfare (*i.e.* the social minimum required to maintain the allegiance of the workers) into the realm of foreign policy. The claims of welfare competed with the exigencies of liberal internationalism within the management of states; whilst the former gained ground as protectionism, the new imperialism and ultimately the end of the gold standard marked the long decline of liberal internationalism.¹⁶ The liberal form of state was slowly replaced by the welfare nationalist form of state.

The spread of industrialisation, and the mobilisation of social classes it brought about, not only changed the nature of states but also altered the international configuration of state power as new rivals overtook Britain's lead. Protectionism, as the means of building economic power comparable to Britain's, was for these new industrial countries more convincing than the liberal theory of comparative advantage. The new imperialisms of the major industrial powers were a projection abroad of the welfare nationalist consensus among social forces sought or achieved within the nations. As both the material predominance of the British economy and the appeal of the hegemonic ideology weakened, the hegemonic world order of the mid-Nineteenth century gave place to a non-hegemonic configuration of rival power blocs. . . .

James Petras, in his use of the concept of an imperial state system, has posed

a number of questions concerning the structural characteristics of states in the present world order. The dominant imperial state and subordinate collaborator states differ in structure and have complementary functions in the imperial system; they are not just more and less powerful units of the same kind, as might be represented in a simple neo-realist model. A striking feature in his framework is that the imperial state he analyses is not the whole US government; it is "those executive bodies within the 'government' which are charged with promoting and protecting the expansion of capital across state boundaries."¹⁷ The imperial system is at once more than and less than the state. It is more than the state in that it is a transnational structure with a dominant core and dependent periphery. This part of the US government is at the system's core, together (and here we may presume to enlarge upon Petras' indications) with inter-state institutions such as the IMF and the World Bank, symbiotically related to expansive capital, and with collaborator governments (or at any rate parts of them linked to the system) in the system's periphery. It is less than the state in the sense that non-imperial, or even anti-imperial, forces may be present in other parts of both core and periphery states. The unity of the state, posited by neo-realism, is fragmented in this image, and the struggle for and against the imperial system may go on within the state structures at both core and periphery as well as among social forces ranged in support and opposition to the system. The state is thus a necessary but insufficient category to account for the imperial system. The imperial system itself becomes the starting point of enquiry.

The imperial system is a world order structure drawing support from a particular configuration of social forces, national and transnational, and of core and periphery states. One must beware of slipping into the language of reification when speaking of structures; they are constraints on action, not actors. . . .

At this point, it is preferable to revert to the earlier terminology which referred to hegemonic and non-hegemonic world order structures. To introduce the term "imperial" with reference to the *pax americana* risks both obscuring the important difference between hegemonic and non-hegemonic world orders and confusing structurally different kinds of imperialism (*e.g.* liberal imperialism, the new or colonial imperialism, and the imperial system just outlined). The contention here is that the *pax americana* was hegemonic: it commanded a wide measure of consent among states outside the Soviet sphere and was able to provide sufficient benefits to the associated and subordinate elements in order to maintain their acquiescence. Of course, consent wore thin as one approached the periphery where the element of force was always apparent, and it was in the periphery that the challenge to the imperial system first became manifest.

It was suggested above how the particular fit between power, ideology and institutions constituting the *pax americana* came into being. Since the practical issue at the present is whether or not the *pax americana* has irretrievably come apart and if so what may replace it, two specific questions deserving attention are: (1) what are the mechanisms for maintaining hegemony in this particular historical structure? and (2) what social forces and/or forms of state have been generated within it which could oppose and ultimately bring about a transformation of the structure?

THE INTERNATIONALISATION OF THE STATE

A partial answer to the first question concerns the internationalisation of the state. The basic principles of the *pax americana* were similar to those of the *pax britannica*—relatively free movement of goods, capital and technology and a reasonable degree of predictability in exchange rates. . . . The post-war hegemony was, however, more fully institutionalised than the *pax britannica* and the main function of its institutions was to reconcile domestic social pressures with the requirements of a world economy. The International Monetary Fund was set up to provide loans to countries with balance of payments deficits in order to provide time in which they could make adjustments, and to avoid the sharp deflationary consequences of an automatic gold standard. The World Bank was to be a vehicle for longer term financial assistance. Economically weak countries were to be given assistance by the system itself, either directly through the system's institutions or by other states nominally certified by the system's institutions. These institutions incorporated mechanisms to supervise the application of the system's norms and to make financial assistance effectively conditional upon reasonable evidence of intent to live up to the norms.

This machinery of surveillance was, in the case of the western allies and subsequently of all industrialised capitalist countries, supplemented by elaborate machinery for the harmonisation of national policies. Such procedures began with the mutual criticism of reconstruction plans in western European countries (the US condition for Marshall aid funds), continued with the development of annual review procedures in NATO (which dealt with defence and defence support programmes), and became an acquired habit of mutual consultation and mutual review of national policies (through the OECD and other agencies).

The notion of international obligation moved beyond a few basic commitments, such as observance of the most favored nation principle or maintenance of an agreed exchange rate, to a general recognition that measures of national economic policy affect other countries and that such consequences should be taken into account before national policies are adopted. Conversely, other countries should be sufficiently understanding of one country's difficulties to acquiesce in short-term exceptions. Adjustments are thus perceived as responding to the needs of the system as a whole and not to the will of dominant countries. External pressures upon national policies were accordingly internationalised. . . .

The practice of policy harmonisation became such a powerful habit that when the basic norms of international economic behaviour no longer seemed valid, as became the case during the 1970s, procedures for mutual adjustment of national economic policies were, if anything, reinforced. In the absence of clear norms, the need for mutual adjustment appeared the greater.¹⁸

State structures appropriate to this process of policy harmonisation can be contrasted with those of the welfare nationalist state of the preceding period. Welfare nationalism took the form of economic planning at the national level and the attempt to control external economic impacts upon the national economy. To make national planning effective, corporative structures grew up in most industri-

ally advanced countries for the purpose of bringing industry, and also organised labour, into consultation with the government in the formulation and implementation of policy. . . .

The internationalisation of the state gives precedence to certain state agencies—notably ministries of finance and prime ministers' offices—which are key points in the adjustment of domestic to international economic policy. Ministries of industries, labour ministries, planning offices, which had been built up in the context of national corporatism, tended to be subordinated to the central organs of internationalised public policy. As national economies became more integrated in the world economy, it was the larger and more technologically advanced enterprises that adapted best to the new opportunities. A new axis of influence linked international policy networks with the key central agencies of government and with big business. This new informal corporative structure overshadowed the older more formalised national corporatism and reflected the dominance of the sector oriented to the world economy over the more nationally-oriented sector of a country's economy. . . .¹⁹

THE INTERNATIONALISATION OF PRODUCTION

The internationalisation of the state is associated with the expansion of international production. This signifies the integration of production processes on a transnational scale, with different phases of a single process being carried out in different countries. International production currently plays the formative rôle in relation to the structure of states and world order that national manufacturing and commercial capital played in the mid-Nineteenth century.

International production expands through direct investment, whereas the rentier imperialism, of which Hobson and Lenin wrote, primarily took the form of portfolio investment. . . . The essential feature of direct investment is possession, not of money, but of knowledge—in the form of technology and especially in the capacity to continue to develop new technology. The financial arrangements for direct investment may vary greatly, but all are subordinated to this crucial factor of technical control. . . . These enterprises become suppliers of elements to a globally organised production process planned and controlled by the source of the technology. Formal ownership is less important than the manner in which various elements are integrated into the production system. . . .

INTERNATIONAL PRODUCTION AND CLASS STRUCTURE

International production is mobilising social forces, and it is through these forces that its major political consequences *vis-à-vis* the nature of states and future world orders may be anticipated. Hitherto, social classes have been found to exist within nationally-defined social formations, despite rhetorical appeals to the interna-

tional solidarity of workers. Now, as a consequence of international production, it becomes increasingly pertinent to think in terms of a global class structure alongside or superimposed upon national class structures.

At the apex of an emerging global class structure is the transnational managerial class. Having its own ideology, strategy and institutions of collective action, it is both a class in itself and for itself. Its focal points of organisation, the Trilateral Commission, World Bank, IMF and OECD, develop both a framework of thought and guidelines for policies. From these points, class action penetrates countries through the process of internationalisation of the state. The members of this transnational class are not limited to those who carry out functions at the global level, such as executives of multinational corporations or as senior officials of international agencies, but includes those who manage the internationally-oriented sectors within countries, the finance ministry officials, local managers of enterprises linked into international production systems, and so on.²⁰

National capitalists are to be distinguished from the transnational class. The natural reflex of national capital faced with the challenge of international production is protectionism. It is torn between the desire to use the state as a bulwark of an independent national economy and the opportunity of filling niches left by international production in a subordinate symbiotic relationship with the latter.

Industrial workers have been doubly fragmented. One line of cleavage is between established and non-established labour. Established workers are those who have attained a status of relative security and stability in their jobs and have some prospects of career advancement. Generally they are relatively skilled, work for larger enterprises, and have effective trade unions. Non-established workers, by contrast, have insecure employment, have no prospect of career advancement, are relatively less skilled, and confront great obstacles in developing effective trade unions. Frequently, the non-established are disproportionately drawn from lower-status ethnic minorities, immigrants and women. The institutions of working class action have privileged established workers. . . .

The second line of cleavage among industrial workers is brought about by the division between national and international capital (*i.e.* that engaged in international production). The established workers in the sector of international production are potential allies of international capital. . . .

Established workers in the sector of national capital are more susceptible to the appeal of protectionism and national (rather than enterprise) corporatism in which the defence of national capital, of jobs and of the workers' acquired status in industrial relations institutions, are perceived to be interconnected.²¹

Non-established labour has become of particular importance in the expansion of international production. Production systems are being designed so as to make use of an increasing proportion of semi-skilled (and therefore frequently non-established) in relation to skilled (and established) labour.²² This tendency in production organisation makes it possible for the centre to decentralise the actual physical production of goods to peripheral locations in which an abundant supply of relatively cheap non-established labour is to be found, and to retain control of the process and of the research and development upon which its future depends.

As a non-established workforce is mobilised in Third World countries by in-

ternational production, governments in these countries have very frequently sought to pre-empt the possibility of this new social force developing its own class-conscious organisations by imposing upon it structures of state corporatism in the form of unions set-up and controlled by the government or the dominant political party. . . .

SOCIAL FORCES, STATE STRUCTURES, AND FUTURE WORLD ORDER PROSPECTS

. . . The social forces generated by changing production processes are the starting point for thinking about possible futures. These forces may combine in different configurations, and as an exercise one could consider the hypothetical configurations most likely to lead to three different outcomes as to the future of the state system. The focus on these three outcomes is not, of course, to imply that no other outcomes or configurations of social forces are possible.

First, is the prospect for a new hegemony being based upon the global structure of social power generated by the internationalising of production. This would require a consolidation of two presently powerful and related tendencies: the continuing dominance of international over national capital within the major countries, and the continuing internationalisation of the state. Implicit in such an outcome is a continuance of monetarism as the orthodoxy of economic policy, emphasising the stabilisation of the world economy (anti-inflationary policies and stable exchange rates) over the fulfilment of domestic socio-political demands (the reduction of unemployment and the maintenance of real wages levels).

The inter-state power configuration which could maintain such a world order, provided its member states conformed to this model, is a coalition centering upon the United States, the Federal Republic of Germany, and Japan, with the support of other OECD states, the co-optation of a few of the more industrialised Third World countries, such as Brazil, and of leading conservative OPEC countries, and the possibility of revived détente allowing for a greater linkage of the Soviet sphere into the world economy of international production. The new international division of labour, brought about through the progressive decentralisation of manufacturing into the Third World by international capital, would satisfy demands for industrialisation from those countries. Social conflict in the core countries would be combatted through enterprise corporatism, though many would be left unprotected by this method, particularly the non-established workers. In the peripheral countries, social conflict would be contained through a combination of state corporatism and repression.

The social forces opposed to this configuration have been noted above. National capital, those sections of established labour linked to national capital, newly mobilised non-established workers in the Third World, and socially marginal in the poor countries are all in some way or another potentially opposed to international capital, and to the state and world order structures most congenial to international capital. These forces do not, however, have any natural cohesion, and might be dealt with separately, or neutralised, by an effective hegemony. . . .

A second possible outcome is a non-hegemonic world structure of conflicting power centres. Perhaps the most likely way for this to evolve would be through the ascendancy in several core countries of neo-mercantilist coalitions which linked national capital and established labour, and were determined to opt out of arrangements designed to promote international capital and to organise their own power and welfare on a national or sphere of influence basis. The continuing pursuit of monetarist policies may be the single most likely cause of neo-mercantilist reaction. Legitimated as anti-inflationary, monetarist policies have been perceived as hindering national capital (because of high interest rates), generating unemployment (through planned recession), and adversely affecting relatively deprived social groups and regions dependent upon government services and transfer payments (because of budget-balancing cuts in state expenditures). An opposing coalition would attack monetarism for subordinating national welfare to external forces, and for showing an illusory faith in the markets (which are perceived to be manipulated by corporate-administered pricing). . . .

A third and more remotely possible outcome would be the development of a counter-hegemony based on a Third World coalition against core country dominance and aiming towards the autonomous development of peripheral countries and the termination of the core-peripheral relationship. A counter-hegemony would consist of a coherent view of an alternative world order, backed by a concentration of power sufficient to maintain a challenge to core countries. While this outcome is foreshadowed by the demand for a New International Economic Order, the prevailing consensus behind this demand lacks a sufficiently clear view of an alternative world political economy to constitute counter-hegemony. The prospects of counter-hegemony lie very largely in the future development of state structures in the Third World. . . .

NOTES

1. Fernand Braudel, *Civilisation matérielle, Economie et Capitalisme, XVe-XVIIIe Siècle*, 3 vols. (Paris: Armand Colin, 1979). Braudel's theory and method are outlined in his essay first published in 1958 in *Annales E.S.C.* "Histoire et sciences sociales. La longue durée" (republished in Braudel, *Ecrits sur l'histoire*, Paris: Flammarion, 1969).
2. There is now quite a large literature produced by this school. The basic work is I. Wallerstein, *The Modern World-System: Capitalist Agriculture and the Origins of the European World-Economy in the Sixteenth Century* (New York: Academic Press, 1974). A brief summary of the world systems theory is in Wallerstein, "The rise and future demise of the world capitalist system: Concepts for comparative analysis", *Comparative Studies in Society and History* (vol. 16, no. 4, Sept. 1974), pp. 387-415.
3. I use the term "world order" in preference to "inter-state system" as it is relevant to all historical periods (and not only those in which states have been the component entities) and in preference to "world system" as it is more indicative of a structure having only a certain duration in time and avoiding the equilibrium connotations of "system". "World" designates the relevant totality, geographically limited by the range of probable interactions (some past "worlds" being limited to the Mediterranean, to Europe, to China, etc.). "Order" is used in the sense of the way things usually happen (not the ab-

- sence of turbulence); thus disorder is included in the concept of order. An inter-state system is one historical form of world order. The term is used in the plural to indicate that particular patterns of power relationships which have endured in time can be contrasted in terms of their principal characteristics as distinctive world orders.
4. E.P. Thompson argues that historical concepts must often "display extreme elasticity and allow for great irregularity". His treatment of historical logic develops this point in his essay "The Poverty of Theory" in *The Poverty of Theory and Other Essays* (London: Merlin Press, 1978), esp. pp. 231-242.
 5. This is most clearly expressed in K. Waltz, *Man, the State and War* (New York: Columbia University Press, 1954).
 6. *Leviathan*, Part I, chap. xi.
 7. Kenneth Waltz, in a paper presented to a panel discussion at the American Political Science Association in August 1980 for which a first version of the present essay was written, asked the question "Will the future be like the past?", which he answered affirmatively—not only was the same pattern of relationships likely to prevail but it would be for the good of all that this should be so. It should be noted that the future contemplated by Waltz was the next decade or so.
 8. *The New Science of Giambattista Vico* trans. from the third edition by Thomas Goddard Bergin and Max Harold Fisch (Ithaca and London: Cornell University Press, 1970), p. 19, para. 127.
 9. Antonio Gramsci, *Selections from the Prison Notebooks* edited and trans. by Quintin Hoare and Geoffrey Nowell Smith (New York: International Publishers, 1971), esp. pp. 158-168. The full critical Italian edition *Quaderni del carcere* (Torino: Einaudi editore, 1975) contains additional passages on this point, e.g. pp. 471, 1321, 1492. Gramsci saw ideas, politics and economics as reciprocally related, convertible into each other and bound together in a *blocco storico* [historic bloc]. "Historical materialism", he wrote, "is in a certain sense a reform and development of Hegelianism. It is philosophy freed from unilateral ideological elements, the full consciousness of the contradictions of philosophy." (Einaudi edition, p. 471, my rough translation).
 10. As in Stephen Krasner, *Defending the National Interest: Raw Materials Investments and U.S. Foreign Policy* (Princeton: Princeton University Press, 1978) and Peter Katzenstein, ed., *Beyond Power and Plenty. Foreign Economic Policies of Advanced Industrial States* (Madison: University of Wisconsin Press, 1978). The United States is represented by these authors as a state which is weak in relation to the strength of civil society (or more particularly of interests in civil society), whereas other states, e.g. Japan or France, are stronger in relation to their societies. Civil society is thus seen in the US case as limiting the effectiveness of the state.
 11. On intersubjective meanings, see Charles Taylor, "Hermeneutics and Politics", in Paul Connerton, ed., *Critical Sociology* (Harmondsworth, Middlesex: Penguin Books, 1965), chap. VI. Also relevant is Peter L. Berger and Thomas Luckman, *The Social Construction of Reality* (Harmondsworth, Middlesex: Penguin, 1971).
 12. Collective images are not aggregations of fragmented opinions of individuals such as are compiled through surveys; they are coherent mental types expressive of the world views of specific groups such as may be reconstructed through the work of historians and sociologists, e.g. Max Weber's reconstructions of forms of religious consciousness.
 13. Gramsci's principal application of the concept of hegemony was to the relations among social classes, e.g. in explaining the inability of the Italian industrial bourgeoisie to establish its hegemony after the unification of Italy and in examining the prospects of the Italian industrial workers establishing their class hegemony over peasantry and petty bourgeoisie so as to create a new *blocco storico* (historic bloc)—a term which in Gram-

sci's work corresponds roughly to the notion of historic structure in this essay. The term "hegemony" in Gramsci's work is linked to debates in the international Communist movement concerning revolutionary strategy and in this connection its application is specifically to classes. The form of the concept, however, draws upon his reading of Machiavelli and is not restricted to class relations but has a broader potential applicability. Gramsci's adjustment of Machiavellian ideas to the realities of the world he knew was an exercise in dialectic in the sense defined above. It is an appropriate continuation of his method to perceive the applicability of the concept to world order structures as suggested here. For Gramsci, as for Machiavelli, the general question involved in hegemony is the nature of power, and power is a centaur, part man, part beast, a combination of force and consent. See Machiavelli, *The Prince*, Norton Critical Edition, Robert M. Adams, ed. (New York: W.W. Norton, 1977), pp. 49-50; Gramsci, *Selections op. cit.*, pp. 169-170.

14. A recent discussion of the reciprocal character of these relations is in Peter A. Gourevitch, "The Second Image Reversed", *International Organization* (Vol. 32, No. 4, Autumn 1978), pp. 881-911.
15. E. J. Hobsbawm writes: "The men who officially presided over the affairs of the victorious bourgeois order in its moment of triumph were a deeply reactionary country nobleman from Prussia, an imitation emperor in France and a succession of aristocratic landowners in Britain." *The Age of Capital, 1843-1875* (London: Sphere Book, 1977), p. 15.
16. Among analysts who concur in this are Karl Polanyi, *The Great Transformation* (Boston, MA: Little, Brown, 1957); Gunnar Myrdal, *Beyond the Welfare State* (New Haven: Yale University Press, 1960); E. H. Carr, *Nationalism and After* (London: Macmillan, 1945); and Geoffrey Barraclough, *Introduction to Contemporary History* (London: Penguin, 1968).
17. "The Imperial State System" paper presented to the American Political Science Association, Washington, D.C., August 1980.
18. Max Beloff was perhaps the first to point to the mechanisms whereby participation in international organisations altered the internal policy-making practices of states in his *New Dimensions in Foreign Policy* (London: Allen and Unwin, 1961). R. W. Cox and H. K. Jacobson, et al., *The Anatomy of Influence: Decision-making in International Organisation* (New Haven: Yale University Press, 1972) represented the political systems of international organisations as including segments of states. R. O. Keohane and J. S. Nye, "Transgovernmental Relations and International Organizations", *World Politics* (Vol. 27, October 1974) pointed to the processes whereby coalitions are formed among segments of the apparatuses of different states and the ways in which international institutions facilitate such coalitions. These various works, while they point to the existence of mechanisms for policy co-ordination among states and for penetration of external influences within states, do not discuss the implications of these mechanisms for the structure of power within states. It is this structural aspect I wish to designate by the term "internationalisation of the state". Christian Palloix refers to "L'internationalisation de l'appareil de l'Etat national, de certains lieux de cet appareil d'Etat..." (*L'internationalisation du capital*, Paris, Maspero, 1975, p. 82) by which he designates those segments of national states which serve as policy supports for the internationalisation of production. He thus raises the question of structural changes in the state, though he does not enlarge upon the point. Keohane and Nye, subsequent to the work mentioned above, linked the transgovernmental mechanism to the concept of "interdependence", *Power and Interdependence*, (Boston: Little, Brown, 1977). I find this concept tends to obscure the power relationships involved in structural changes in

both state and world order and prefer not to use it for that reason. Peter Gourevitch, *op. cit.*, does retain the concept interdependence while insisting that it be linked with power struggles among social forces within states.

19. There is, of course, a whole literature implicit in the argument of this paragraph. Some sketchy references may be useful. Andrew Shonfield, *Modern Capitalism* (London: Oxford University Press, 1965) illustrated the development of corporative-type structures of the kind I associate with the welfare-nationalist state. The shift from industry-level corporatism to an enterprise-based corporatism led by the big public and private corporations has been noted in some industrial relations works, particularly those concerned with the emergence of a 'new working class', e.g. Serge Mallet, *La nouvelle classe ouvrière* (Paris: Scuil, 1963), but the industrial relations literature has generally not linked what I have elsewhere called enterprise corporatism to the broader framework suggested here (cf. R. W. Cox, "Pour une étude prospective des relations de production", *Sociologie du Travail*, 2, 1977). Erhard Friedberg, "L'internationalisation de l'économie et modalités d'intervention de l'état: la 'politique industrielle'", in *Planification et Société* (Grenoble: Presses universitaires de Grenoble, 1974), pp. 94-108, discusses the subordination of the old corporatism to the new. The shift in terminology from planning to industrial policy is related to the internationalising of state and economy. Industrial policy has become a matter of interest to global economic policy makers, cf. William Diebold, Jr., *Industrial Policy as an International Issue* (New York: McGraw-Hill for the Council on Foreign Relations, 1980) and John Pinder, Takashi Hosomi and William Diebold, *Industrial Policy and the International Economy* (Trilateral Commission, 1979). If planning evokes the spectre of economic nationalism, industrial policy, as the Trilateral Commission study points out, can be looked upon with favour from a world economy perspective as a necessary aspect of policy harmonisation: "We have argued that industrial policies are needed to deal with structural problems in the modern economies. Thus, international action should not aim to dismantle these policies. The pressure should, rather, be towards positive and adaptive industrial policies, whether on the part of single countries or groups of countries combined. Far from being protectionist, industrial policy can help them to remove a cause of protectionism, by making the process of adjustment less painful." (p. 50). It may be objected that the argument and references presented here are more valid for Europe than for the United States, and that, indeed, the very concept of corporatism is alien to US ideology. To this it can be replied that since the principal levers of the world economy are in the United States, the US economy adjusts less than those of European countries and peripheral countries, and the institutionalisation of adjustment mechanisms is accordingly less developed. Structural analyses of the US economy have, however, pointed to a distinction between a corporate international-oriented sector and a medium and small business nationally-oriented sector, and to the different segments of the state and different policy orientations associated with each. Cf. John Kenneth Galbraith, *Economics and the Public Purpose* (London: Andre Deutsch, 1974) and James O'Connor, *The Fiscal Crisis of the State* (New York: St. Martin's Press, 1973). Historians point to the elements of corporatism in the New Deal, e.g. Arthur M. Schlesinger, Jr., *The Age of Roosevelt* (London: Heinemann, 1960).
20. The evidence for the existence of a transnational managerial class lies in actual forms of organisation, the elaboration of ideology, financial supports, and the behavior of individuals. Other structures stand as rival tendencies, e.g. national capital and its interests sustained by a whole other structure of loyalties, agencies, etc. Individuals or firms and state agencies may in some phases of their activity be caught up now in one, now in another tendency. Thus the membership of the class may be continually shifting though

the structure remains. It is sometimes argued that this is merely a case of US capitalists giving themselves a hegemonic aura, an argument that by implication makes of imperialism a purely national phenomenon. There is no doubting the US origin of the values carried and propagated by this class, but neither is there any doubt that many non-US citizens and agencies also participate in it nor that its world view is global and distinguishable from the purely national capitalisms which exist alongside it. Through the transnational managerial class American culture, or a certain American business culture, has become globally hegemonic. Of course, should neo-mercantilist tendencies come to prevail in international economic relations, this transnational class structure would wither.

21. Some industries appear as ambiguously astride the two tendencies, e.g. the automobile industry. During a period of economic expansion, the international aspect of this industry dominated in the United States, and the United Auto Workers union took the lead in creating world councils for the major international auto firms with a view to inaugurating multinational bargaining. As the industry was hit by recession, protectionism came to the fore.
22. R.W. Cox, "Labour and Employment in the Late Twentieth Century", in R. St. J. MacDonald, et al., eds., *The International Law and Policy of Human Welfare* (Sijthoff and Noordhoff, 1978). This tendency can be seen as the continuation of a long-term direction of production organisation of which Taylorism was an early stage, in which control over the work process is progressively wrested from workers and separated out from the actual performance of tasks so as to be concentrated with management. See Harry Braverman, *Labor and Monopoly Capital* (New York: Monthly Review, 1974).

Why Collaborate? Issue-Linkage and International Regimes

Ernst B. Haas

I. WHY STUDY REGIMES?

THIS essay is yet another attempt to specify the particular mode of international collaboration we call a "regime." . . .

. . . Under what conditions do convergences of interest arise that call for the creation of regimes? How can there be international collaboration despite the persistence of conflict and of differentials in the power of actors?

Institutionalized collaboration can be explored in terms of the interaction between changing knowledge and changing social goals. It seems axiomatic that par-

ties in conflict will, under conditions of changing understanding of their desires and of the constraints under which they must act, seek to define an area of joint gains. The definition of joint gains must be based on the goals of the actors *and* on the calculations ("knowledge") that influence the choice of goals. What, then, about the social power of certain groups and the hegemonic position of strong states in world politics?

If it were possible to predict the outcome of international negotiations by projecting the power of the parties, our question would be answered. If social classes and governments never changed their minds about individual and joint gains, there would be no question. But under conditions of complex interdependence, no such projection is possible. The existence of an unstable hierarchy of issues on the international agenda means that minds are being changed all the time. Hence we focus on changing knowledge and changing goals. . . .

We will begin by exploring relationships between types of interdependence, issues, and the need for collaboration. Next, we will inquire how issues become "linked" into packages called "issue areas." By examining the role of changing knowledge and social goals in defining the content of such packages, four patterns of cognition for choosing regimes are developed. Finally, we will look into the type of organizational arrangements that correspond to various types of regimes. . . .

II. INTERDEPENDENCE, ISSUES, ISSUE-AREAS

Negotiations may be controversial or smooth, laden with conflict or free of it. As long as the parties agree on the benefits to be derived from collaboration, conflict does not arise. During the 19th century, for instance, it was taken for granted by all concerned that British investment in Argentine beef production and electric utilities was beneficial for both Britain and Argentina. Negotiating the capital and technology transfers considered appropriate then did not pose a problem. No *issue*, no controversy arose until Britain sought to intervene, diplomatically or militarily, to protect the British investment against Argentine efforts to change the understanding under which it had been introduced earlier. Collaboration becomes conflictual only when the parties begin to disagree on the distribution of benefits to be derived. . . .

Interdependence

. . . If Britain considers herself relatively insensitive to a change, we say that Argentina is *more vulnerable* than Britain. Sensitivity is measured by the perceived effects of interrupting a pattern of interdependence. Vulnerability is measured by the opportunity costs incurred by making alternative arrangements for collaboration when the initial arrangement breaks down. Unequal sensitivity and vulnerability amount to *asymmetrical interdependence*: Britain is less dependent on Argentina than Argentina is on Britain. . . . The construction of international arrangements regulating interdependence—which we call regimes—under condi-